

China Daily Brief

Wednesday, September 30, 2026

2,623 words · 10 min read

RE: PBOC stimulus & PMI rebound · PLA support base in Laos · DeepSeek-Huawei AI chips · Cross-Strait WWII row · EU trade warning

USD/CNY
6.6956
▼ -0.23%

SSE COMPOSITE
3,842.20
▼ -2.40%

HANG SENG
24,613.27
▼ -0.89%

BRENT
\$97.47
▼ -6.57%

IN THIS ISSUE [Top Stories](#) · [US-China](#) · [The World](#) · [Beijing](#) · [Markets](#) · [Statements](#) · [Analysis](#) · [Overnight](#) · [The Wire](#) · [Upcoming](#)

• TODAY AT A GLANCE

- 1 Xi Jinping made his first confirmed public appearance in 25 days, attending a Martyrs' Day wreath-laying ceremony in Beijing with other party and state leaders ahead of National Day, per China's Ministry of National Defense.
- 2 The PBOC, Ministry of Finance and National Financial Regulatory Administration rolled out a coordinated stimulus package, a nationwide mortgage-interest subsidy effective October 1, a PSL rate cut, and a 1.2 trillion yuan reverse repo operation for October 8, as September factory PMI snapped two months of contraction to hit 50.1.
- 3 China opened what Reuters called a 'rare joint military support centre' in Laos, expanding PLA overseas logistics footprint into Southeast Asia.

PRC-ECONOMY

PBOC Unveils Stimulus Package: Mortgage Subsidy, PSL Cut, 1.2 Trillion Yuan Reverse Repo

The PBOC, Ministry of Finance and National Financial Regulatory Administration jointly rolled out a nationwide mortgage-interest subsidy for homebuyers effective October 1, alongside a cut to the Pledged Supplementary Lending rate and a *1.2 trillion yuan* three-month buyout reverse repo operation set for October 8. The package follows a State Council Executive Meeting call for 'practical additional policies' to support growth.

REUTERS, AP, WSJ, FT, BLOOMBERG, SINOCISM — SEPT 29-30

PRC-ECONOMY

China Factory Activity Snaps Two-Month Contraction, PMI Hits 50.1

China's official and private manufacturing PMIs both returned to expansion in September at *50.1*, ending two straight months of contraction, while a private services PMI hit a three-month high. September PPI came in at +3.8% year-on-year, released alongside the stimulus package announced this week.

CNBC, AP, REUTERS, WSJ, BLOOMBERG — SEPT 30

PLA

China Opens Rare Joint Military Support Center in Laos

China has opened what Reuters describes as a 'rare joint military support centre' in Laos, expanding PLA logistics infrastructure into a landlocked Southeast Asian neighbor. Bloomberg separately reported the facility, part of a broader pattern of PLA overseas footprint that CSIS's Hidden Reach project tracks at Djibouti, Ream in Cambodia and other sites.

REUTERS, BLOOMBERG — SEPT 29-30

TECHNOLOGY

DeepSeek and Huawei Unveil AI Chip Tools to Rival Nvidia's Software Stack

DeepSeek and Huawei have jointly developed software tools for advanced AI chips, aiming to give Chinese developers an alternative to Nvidia's dominant chip-software ecosystem, the New York Times reported. The push is part of Beijing's self-reliance drive in artificial intelligence following US restrictions on Nvidia's most advanced chips.

NYT, BLOOMBERG — SEPT 30

CROSS-STRAIT

Beijing Accuses Taiwan of 'Desecrating the Martyrs' Over WWII History Row

Beijing accused Taiwan of 'desecrating the martyrs' over Taipei's criticism of China's World War Two history framing, Reuters reported, after **Xi Jinping** told **Donald Trump** at their Washington summit that he hoped the US would adhere to Beijing's 'correct position' opposing Taiwan independence. Taiwan Affairs Office statements separately said Lai Ching-te's government is 'coercing the public into cannon fodder' and that 'Taiwan independence is doomed to fail.'

REUTERS; TAO STATEMENTS VIA CHINESE-LANGUAGE PRESS — SEPT 30

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- TECHNOLOGY** China Hardware Stocks Set for Worst Quarter as AI Rally Unravels · Bloomberg China
Chinese hardware stocks are headed for their worst quarterly performance as the AI-driven rally unwinds, Bloomberg reported. The pullback follows a summer run-up tied to Huawei and DeepSeek chip announcements.
-
- PRC-ECONOMY** China's Repo Market Reform Advances Despite Legal, Yield Hurdles · Bloomberg China
China's push to expand its repo market is gaining ground but remains constrained by legal ambiguities and low yields, Bloomberg reported. The reform is central to Beijing's push to internationalize onshore bond and money markets.
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- TECHNOLOGY** Gensler: Chinese AI Models Are a Big 'Wrinkle' for US AI Firms · Bloomberg China
Former SEC Chair **Gary Gensler** said Chinese AI models pose a significant competitive wrinkle for US AI firms, Bloomberg reported. The comment adds to a growing chorus of US financial figures flagging China's AI progress.
-
- DIPLOMACY** Xi's Personal Security Chief Emerges From the Shadows · CNN
CNN profiled the previously low-profile official responsible for **Xi Jinping's** personal security, describing a rare public emergence. The report comes amid recurring speculation about Xi's health and appearances.
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- CROSS-STRAIT** Taiwan Tension Prompted Last-Minute Change to Trump-Xi Archives Visit · NPR
Potential friction over Taiwan led to a last-minute change in a planned Trump-Xi visit to the National Archives during last week's Washington summit, NPR reported. The report details how sensitive Taiwan-related documents were handled.
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- TECHNOLOGY** Japanese Robot Makers Accelerate Shift From China to US · Nikkei Asia China
Fanuc and Yaskawa are building up their US presence to position at the intersection of AI and industrial robotics, Nikkei reported. The shift reflects broader Japanese industrial derisking from China amid the AI investment boom.
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- PRC-ECONOMY** GAC to Consolidate Toyota Joint Ventures to Help Ailing Automaker · Nikkei Asia China
Guangzhou Automobile Group agreed to acquire FAW Group's 50 percent stake in a joint venture with Toyota Motor, Nikkei reported, consolidating GAC's Toyota partnerships under one roof to help its struggling China operations.
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- CROSS-STRAIT** Taiwan Defense Ministry Silent on Alleged Philippines Warship Donation · Focus Taiwan
Taiwan's defense ministry declined to confirm reports of a plan to donate a warship to the Philippines, Focus Taiwan reported. This follows Taiwan Coast Guard's earlier confirmation of a vessel donation and a planned 2027 Philippines visit.
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TRADE · REUTERS CHINA

China's Soybean Demand Stays Weak, Dimming Prospects for US Cargoes

China's soybean purchases remain weak heading into harvest season despite the Trump-Xi summit's agricultural pledges, Reuters reported. Beijing had committed to buy at least \$17 billion a year of US farm goods through 2028, but on-the-ground demand has not matched that pledge.

LEGAL · CNBC CHINA

CNBC Investigation Details Chinese Espionage Operation Targeting Fed Adviser

A CNBC investigation traces how former Fed adviser **John Rogers** became entangled with a man US officials identify as a Chinese intelligence operative. The case illustrates continued targeting of US financial policy circles.

LEGAL · CNBC CHINA

DOJ Charges Two Indian Nationals in Counterfeit Ozempic Smuggling From China

The Justice Department indicted two Indian nationals in Florida for smuggling counterfeit Ozempic from China, CNBC reported, as demand for GLP-1 weight-loss drugs hits new highs among US adults.

CONGRESS · CNBC CHINA

Senate Republican Moreno Says Chinese-Ownership Vehicle Bill Won't Ban Mercedes-Benz

Sen. Moreno said a bill he is sponsoring to bar companies with more than 15 percent Chinese ownership from selling vehicles in the US would not affect Mercedes-Benz. The bill targets Chinese-linked automakers amid a broader congressional push on connected-vehicle restrictions.

DIPLOMACY · SCMP CHINA

Analysts Call US-China Trade Truce 'Very Fragile' After Xi-Trump Summit

The two-month extension of the US-China trade truce remains fragile despite last week's summit, Asia Society Policy Institute analysts said, with modest concessions leaving deeper disputes unresolved.

Wendy Cutler said both sides 'are testing each other.'

CONGRESS · TAIPEI TIMES

House Speaker Johnson: Taiwan's 'Stability and Independence' Vital to US Security

House Speaker **Mike Johnson** said Taiwan's stability is important to US national security and the economy, dismissing suggestions that a delayed \$14 billion arms package is being used as leverage in trade talks. He said Trump will have completed roughly \$40 billion in Taiwan arms sales across two terms.

MILITARY · GUARDIAN

Ambassador Says Trump Asked Xi If China Would Like to Buy US Weapons

US Ambassador to China **David Perdue** said Trump asked **Xi Jinping** whether China would like to buy US weapons, the Guardian reported. Trump later said Perdue 'was probably talking about Taiwan,' per PBS, walking back the suggestion.

CROSS-STRAIT · NIKKEI ASIA CHINA

China Strengthens Wartime Mobilization Powers Ahead of Possible Taiwan Contingency

China has enhanced its legal authority to requisition civilian infrastructure and resources for an all-out war, Nikkei reported, citing an expanded mobilization law. Taiwan's own 2026 defense assessment says Beijing is studying lessons from the US-Iran conflict, including the 'fragility of allied cooperation.'

JAPAN · NIKKEI ASIA CHINA

Vice Premier He Lifeng Meets Former Japanese FM Iwaya in Beijing Outreach

He Lifeng met former Japanese Foreign Minister **Takeshi Iwaya** in Beijing Tuesday, described by Nikkei as outreach to a Japanese politician seen as more conciliatory than Prime Minister Sanae Takaichi. Iwaya separately said China was 'positive about economic exchanges with Japan,' per Kyodo.

JAPAN · NIKKEI ASIA CHINA

Dalian Cancels Annual Japan Goods Expo Amid Frozen Beijing-Tokyo Ties

An annual state-backed expo in Dalian showcasing Japanese goods has been scrapped this year, Nikkei reported, reflecting fraying relations between Beijing and Tokyo. This follows continued friction over Taiwan and Japan's defense posture.

EUROPE · CNBC CHINA

MOFCOM Warns China Will 'Respond Firmly' if EU Imposes Trade Curbs

China's Commerce Ministry said Beijing must 'respond firmly' if the EU introduces restrictions on Chinese businesses or products, CNBC reported. Reuters and Bloomberg separately reported Beijing warning that broad EU tariffs could disrupt ongoing trade negotiations.

LATIN AMERICA · REUTERS CHINA

China Slaps 55% Additional Tariff on Brazilian Beef After Quota Fill

China will impose a 55 *percent* additional tariff on Brazilian beef imports from October 1 after Brazil's shipments hit 100 percent of its quota on September 29. China's 2026 total beef import quota is 2.688 million tons, with Brazil allotted 1.106 million tons, Argentina 511,000 tons, Australia 205,000 tons and the US 164,000 tons.

MIDDLE EAST · WSJ CHINA

WSJ Traces Houthi Battlefield Gains to Arms Supplied by Iran and China

A Wall Street Journal visual investigation traces the Houthi advance in Yemen to weapons supplied by Iran and China, amid the group's seizure of Red Sea coastline and the Bab-el-Mandeb strait. The reporting adds scrutiny of Chinese-origin components reaching the battlefield via Iranian supply chains.

AUSTRALIA-PACIFIC · NIKKEI ASIA CHINA

Palauans Describe Being Caught Between US and China in Regional Rivalry

Citizens of Palau say they are being pulled into rising US-China tensions, Nikkei reported, describing themselves as caught 'between a rock and a hard place.' Palau remains one of a small number of Pacific nations maintaining formal ties with Taiwan rather than Beijing.

+3.8%

China's September PPI, year-on-year

The producer-price reading was released alongside a September manufacturing PMI of 50.1, which ended two straight months of factory-sector contraction, per CNBC and AP reporting.

CNBC / AP PMI coverage, Sept 30

• ECONOMY & BUSINESS

AUTO / FORD · CNBC CHINA

Ford CEO Farley: 'Too Late' for Europe to Fend Off Chinese Automakers

Jim Farley said it is already too late for Europe to fend off Chinese automakers but not for the US, CNBC reported, days after the Trump-Xi summit. Reuters separately quoted Farley urging caution on Chinese EV competition.

MANUFACTURING · BLOOMBERG CHINA

Lithium Prices in China Plunge 25% on Battery Demand Fears

Lithium prices in China have fallen *25 percent* as markets reassess EV and battery demand growth, Bloomberg reported.

ENERGY · BLOOMBERG CHINA

China Coal Prices Up Almost a Quarter Since Mid-July

China's coal prices have jumped nearly 25 percent since mid-July, Bloomberg reported, as the stimulus push coincides with tighter supply.

FINANCE / HSBC · FT CHINA

HSBC Doubles Down on Hong Kong to Capture Wealth Flows Out of China

HSBC is expanding its Hong Kong wealth business to capture money flowing out of mainland China, the FT reported, a strategy that raises the risk of friction with Beijing.

ENERGY · BLOOMBERG CHINA

China's Crude Import Comeback Loses Steam as Iran War Drags On

China's rebound in crude oil imports is losing momentum as the Iran conflict enters its eighth month, Bloomberg reported.

MACRO · BLOOMBERG CHINA

Analysts: China's 'Mini Stimulus' Secures Growth Target, Not Much More

China's latest stimulus measures are likely to secure Beijing's GDP target for the year but deliver little additional lift, Bloomberg reported, citing analysts assessing this week's package.

MACRO · BLOOMBERG CHINA

China's Two-Speed Economy Widens Gap Between Stocks and the Yuan

A growing divergence between China's stock market performance and its currency reflects an economy moving at two speeds, Bloomberg reported.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · WEDNESDAY, SEPTEMBER 30, 2026

中国人民银行/财政部/金融监管总局 · PBOC / MINISTRY OF FINANCE / NFRA

Rolls out nationwide 'no-application' mortgage interest subsidy

The PBOC, Ministry of Finance and National Financial Regulatory Administration jointly issued a notice putting a mortgage interest subsidy for homebuyers into effect nationwide from October 1.

→ [Sinocism](#) ↗

中国人民银行 · PBOC

Cuts Pledged Supplementary Lending (PSL) rate, expands targeted lending

The PBOC cut its Pledged Supplementary Lending rate and expanded targeted lending facilities as part of Tuesday's stimulus package.

→ [Bloomberg](#) ↗

国防部 · MND · PLA Southern Theater Command spokesperson

Announces combat-readiness patrol around Scarborough Shoal (Huangyan Dao)

The PLA Southern Theater Command said it organized a combat-readiness patrol in the territorial waters and airspace of Huangyan Dao (Scarborough Shoal) and surrounding areas.

→ [MND ZH](#) ↗

国台办 · TAO · CROSS-STRAIT CONSENSUS AFTER TRUMP-XI SUMMIT

FIRM · TO US

TAO spokesperson '· Taiwan Affairs Office spokesperson

“Per TAO: Firmly opposing 'Taiwan independence' separatist activities serves the common interests of China and the United States.”

坚决反对台独分裂符合中美共同利益

Statement follows Xi's request that Trump adhere to Beijing's 'correct position' opposing Taiwan independence during their Washington summit.

bj.crntt.com (国台办 ZH)

国台办 · TAO · CROSS-STRAIT TENSIONS OVER LAI ADMINISTRATION

WARNING · TO TAIWAN

TAO spokesperson '· Taiwan Affairs Office spokesperson

“Per TAO: The Lai administration is coercing the public into serving as 'cannon fodder,' and 'Taiwan independence' is doomed to fail.”

赖当局裹挟民众成炮灰 台独必败

The statement was issued the same day Beijing accused Taipei of 'desecrating the martyrs' over World War Two history disputes.

bj.crntt.com (国台办 ZH)

外交部 · MOFA · JAPAN'S NUCLEAR WEAPONS DEBATE

FIRM · TO JAPAN

MOFA spokesperson '· Ministry of Foreign Affairs spokesperson

“Per MOFA spokesperson: Whether Japan possesses nuclear weapons is not simply a matter for Japan to decide; the international community should press Japan to abide by its Three Non-Nuclear Principles.”

拥有核武器不是日方想不想讨论的问题 日方应恪守无核三原则

Statement responds to reported debate within Japan's political circles over the country's non-nuclear posture.

ifeng.com (外交部 ZH)

外交部 · MOFA · CHINA-RUSSIA RELATIONS OUTLOOK

CONCILIATORY · TO RUSSIA

MOFA spokesperson '· Ministry of Foreign Affairs spokesperson

“Per MOFA spokesperson: China will continue to open a broader future for China-Russia relations.”

不断开创中俄关系更加广阔的未来

Issued in response to a press question on Beijing's expectations for the future development of China-Russia ties.

dahecube.com (外交部 ZH)

SCMP · SEPT 30

Wendy Cutler · VP, Asia Society Policy Institute; former acting deputy USTR

“In my view, this truce is very fragile. I think they're testing each other.”

Cutler's comment follows the two-month extension of the US-China trade truce after last week's Trump-Xi summit in Washington.

[source](#)

TAIPEI TIMES · SEPT 30

Mike Johnson · US House Speaker

“If you look over [Trump's] two terms, he will have completed, I think, US\$40 billion in arms sales to Taiwan, which is about twice what [former US] president [Barack] Obama did.”

Johnson made the comment in a Fox Business interview addressing a delayed \$14 billion Taiwan arms package.

[source](#)

TAIPEI TIMES · SEPT 30

Riley Walters · Senior Fellow, Hudson Institute

“The White House understands that Taiwan might be its most important partner and therefore unlikely to take on any course that jeopardizes its relationship with the nation.”

Walters argued Taiwan's semiconductor and AI server production outweighs any trade concessions Washington could extract from Beijing.

[source](#)

PRC-ECONOMY

WSJ CHINA

Nike Overhauls China Strategy to Halt Discounting

Nike is overhauling its China strategy to stop discounting and rebuild premium positioning, the WSJ reported.

TECHNOLOGY

REUTERS CHINA

Chinese AI Agents Can Lie and Scheme, Study Finds

Chinese AI agents exhibit deceptive and scheming behavior similar to US rivals, Reuters reported, citing new research.

PLA DAILY ZH

China Claims Breakthrough in Ultra-High-Purity Aluminum for Chips, Aerospace

Chinese researchers achieved ultra-high-purity aluminum and 800 MPa aluminum alloy breakthroughs for semiconductor and aerospace use, per PLA Daily.

DIPLOMACY

KYODO CHINA

Iwaya Urges China to Speed Up Rare-Earth Export Procedures

Former Japanese FM **Takeshi Iwaya** urged China to speed up rare-earth export approval procedures during his Beijing visit, Kyodo reported.

MND ZH

Xi Attends Martyrs' Day Wreath-Laying Ceremony in Beijing

Xi Jinping and other party and state leaders attended a wreath-laying ceremony for Martyrs' Day at Beijing's Monument to the People's Heroes.

CROSS-STRAIT

NIKKEI ASIA CHINA

Taiwan Combines US Tech With Shipbuilding to Build Sea Drones

Taiwan is pairing US software with domestic shipbuilding to produce sea drones countering China's maritime fleet, Nikkei reported.

VOA CHINESE ZH

Taiwan Defense Minister: \$14 Billion Arms Deal Still Under Negotiation

Taiwan's defense minister said the \$14 billion arms procurement package remains under negotiation with Washington, per VOA Chinese.

INDO-PACIFIC

PLA DAILY ZH

Malaysia Accelerates Naval, Air Force Modernization With Turkish Ships

Malaysia's navy launched its third Turkish-built littoral mission ship while its air force weighs Su-57E and KF-21 fighters, per PLA Daily.

● UPCOMING

Oct
1

PRC National Day, 77th anniversary

MOFA's regular press briefings recess Oct 1-7 for the holiday, per spokesperson Guo Jiakun.

Oct
8

PBOC's 1.2 trillion yuan reverse repo operation

A three-month buyout reverse repo announced Tuesday as part of this week's stimulus package.

Oct
25

55th anniversary of UN Resolution 2758

A recurring flashpoint over competing interpretations of Taiwan's UN representation status.

Nov
3

US midterm elections

A factor in the durability of current US tariff posture and the pace of any further US-China trade moves.

Nov
10

Approximate lapse of Busan one-year suspensions

BIS's Affiliates Rule suspension and China's rare-earth export-control suspension are due to lapse around this date unless extended.

CSIS China Programs

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